

CodePackr Finance

WACC Calculator (Cost of Capital)

In-depth calculator documentation

Privacy-first, client-side financial planning tools

<https://finance.codepackr.com/>

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The calculations are estimates based on the assumptions entered by the user. They are not financial, investment, tax, accounting, legal, lending, or professional advice. Confirm important decisions with a qualified professional and current official rules.

All calculator inputs and calculations are designed to run locally in the browser. Review any exported report before sharing it because it may contain sensitive financial information.

How to use this document

Read the introduction first, then work through the input definitions, formulas, worked audit method, scenario guidance, and reconciliation checklist. Keep the assumptions beside any result you save.

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Category: Business & Valuation

Live calculator: finance.codepackr.com/wacc-calculator

Calculate Weighted Average Cost of Capital (WACC), CAPM cost of equity, after-tax cost of debt, and interest tax shield benefits.

1. What this calculator answers

Use this calculator when you need a transparent estimate for wacc calculator (cost of capital). It is intended for planning and comparison: change one assumption at a time, observe the effect on the outputs, and keep the assumptions with any result you save. The result is an estimate, not a quote, approval, tax filing, investment guarantee, or professional opinion.

2. Inputs

The main inputs are:

- Market value of equity: enter the value that describes your current scenario. Keep its unit and time period consistent with the other fields.
- Debt: enter the value that describes your current scenario. Keep its unit and time period consistent with the other fields.
- Cost of equity inputs: enter the value that describes your current scenario. Keep its unit and time period consistent with the other fields.
- Pre-tax cost of debt: enter the value that describes your current scenario. Keep its unit and time period consistent with the other fields.
- Tax rate: enter the value that describes your current scenario. Keep its unit and time period consistent with the other fields.
- Financing mix: enter the value that describes your current scenario. Keep its unit and time period consistent with the other fields.

How to choose the inputs

Start with observed or documented values where possible. For an existing loan, use the outstanding principal rather than the original sanctioned amount. For an investment projection, distinguish the amount already invested from future contributions. For tax, payroll, and statutory tools, select the correct jurisdiction, regime, fiscal year, and eligibility assumptions before entering amounts. If a value is uncertain, record a low, base, and high case instead of hiding the uncertainty in one number.

Input discipline

- Use the same currency and time unit throughout the scenario.
- Enter rates as annual percentages unless the calculator explicitly labels another period.
- Separate one-time amounts from recurring cash flows.
- For a comparison, keep the horizon and inflation assumptions consistent between scenarios.

- Treat estimates such as returns, appreciation, salary growth, and inflation as assumptions, not forecasts.

3. Outputs and interpretation

The calculator reports:

- CAPM cost of equity: use this as a decision signal, then verify it against the detailed schedule, table, or chart.
- After-tax debt cost: use this as a decision signal, then verify it against the detailed schedule, table, or chart.
- WACC: use this as a decision signal, then verify it against the detailed schedule, table, or chart.
- Interest tax shield: use this as a decision signal, then verify it against the detailed schedule, table, or chart.

Read the headline result together with the supporting table or chart. A higher ending value may require more contributions or more risk; a lower payment may imply a longer term or greater total interest. For tax and payroll tools, the output depends on the selected rules and fiscal-year assumptions. Never interpret an isolated percentage or currency amount without checking its denominator, time horizon, and whether it is nominal or inflation-adjusted.

What the result means operationally

Use the result to answer one concrete question: how much should be paid, saved, invested, earned, sold, or reserved; by when; and under which assumptions? A result is actionable only when the required amount fits the relevant cash-flow period and the underlying assumption is realistic. Use the comparison or sensitivity output to identify the variable that deserves the most attention.

4. Methodology

The core relationship used by this tool is:

$$\text{WACC} = E/V \text{ Re} + D/V \text{ Rd} (1 - \text{tax rate}).$$

Calculation sequence

1. The calculator normalizes the entered values into compatible units, periods, and scenario settings.
2. It applies the core formula above to calculate the primary result.
3. It derives secondary measures such as totals, ratios, differences, projected balances, or sensitivity values from that primary result.
4. It renders the summary and, where available, a detailed schedule or chart so the result can be reconciled.

Where a schedule is shown, each period is calculated from the prior period's balance or cash flow

so that the detailed rows reconcile to the summary totals. Rounding is applied for display; intermediate calculations retain higher precision where practical.

Symbolic worked example

To audit a result, write down the entered values, substitute them into the core relationship, and compare the result with the headline metric. For this tool, the audit form is:

$$WACC = E/V R_e + D/V R_d (1 - \text{tax rate}).$$

Then calculate any displayed secondary metric using the same units and period convention. If your hand calculation differs, first check whether the interface applies payment timing, compounding frequency, taxes, fees, rounding, or a statutory rule that is not represented in the short formula.

Scenario analysis

Run at least three cases before making a decision:

1. Base case: your best current estimate.
2. Conservative case: lower income or return, higher costs, rate, inflation, or longer duration as appropriate.
3. Stress case: a plausible adverse event such as a delayed goal, income gap, rate increase, or market drawdown.

Compare the range, not just the base-case number. The most decision-useful output is often the assumption that changes the result most.

5. Suggested workflow

1. Open the live calculator and choose your currency and scenario settings.
2. Enter conservative, clearly labelled inputs.
3. Review the summary metrics and detailed schedule or chart.
4. Change one variable at a time to identify sensitivity.
5. Export or copy the summary only after checking the units, dates, and assumptions.
6. Revisit the scenario when the underlying facts change.

6. Checks and edge cases

Before relying on a result, confirm that the inputs are non-negative where required, the rate and duration use matching periods, and the selected tax or statutory assumptions apply to your situation. Check that a denominator is not zero or negative, that a percentage is entered as a percentage rather than a whole-number amount, and that recurring values are not accidentally entered as annual totals. Zero or near-zero rates can change the appropriate limiting form of a formula. Irregular cash flows, fees, taxes, prepayments, market volatility, and legal changes may not be fully represented by a simple scenario.

Reconciliation checklist

- Recalculate the headline number from the displayed inputs and formula.
- Confirm that the detailed rows add up to the displayed total.
- Test a small change to one input and verify that the direction of the result makes sense.
- Test boundary cases such as zero contribution, zero growth, no debt, or a price equal to cost when relevant.

If the tool reports an unavailable, unachievable, or not-applicable result, treat that as a meaningful condition in the model rather than replacing it with zero. Review the inputs that make the formula undefined or economically impossible.

7. Privacy and data handling

CodePackr Finance performs calculator inputs, formatting, charting, and report preparation in the browser. Financial figures are not uploaded to a calculator server. Do not paste unrelated secrets or credentials into any field, and review an exported file before sharing it.

8. Frequently asked questions

Is this result financial, tax, or legal advice?

No. It is an educational planning estimate. Confirm important decisions with a qualified advisor and the current official rules for your jurisdiction.

Why does my result differ from a bank, broker, employer, or tax portal?

Different providers may use different compounding dates, payment timing, fees, rounding rules, tax-year tables, eligibility rules, or assumptions. Match those settings before comparing results.

Can I use the calculator without creating an account?

Yes. The calculator is designed for immediate, client-side use and does not require an account for ordinary calculations.

9. Related calculators

- NPV Calculator - Calculate Net Present Value (NPV), Profitability Index (PI), and discounted cash flow paybacks for capital investments.
- IRR Calculator - Compute Internal Rate of Return (IRR), hurdle rate spreads, and NPV sensitivity curves for multi-year cash flows.
- Break-Even Calculator - Determine unit and revenue break-even thresholds, contribution margin ratios, and margin of safety buffers.
- Business Valuation Calculator - Estimate enterprise and equity fair market values across conservative, base, and optimistic multiples for Revenue, EBITDA, and SDE.

- DCF Valuation Calculator - Model discounted cash flows (DCF), forecast free cash flows, terminal values via Gordon Growth and exit multiples, and equity value per share.
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This page documents the current calculator behavior and assumptions at the time of publication. Review the live interface for the latest controls and statutory settings.